Prismatic Analysis

The Structural Transformation of American Democracy, c. 1980–2026

A Case Study in Interpretive Divergence
Applying the Prismatic Method (Jazinski, 2026)

Generated Analysis — March 2026

0. PRE-ANALYSIS REFLEXIVE DECLARATION

Home grammar. My likely home grammar for this topic is a structural-materialist political economy. My training corpus is weighted toward academic, journalistic, and policy literature that foregrounds distributional questions, institutional capture, and the relationship between economic concentration and democratic erosion. I am predisposed to treat material factors—capital flows, wealth distribution, lobbying expenditure—as causally upstream of cultural and ideological phenomena. This is not a declaration of correctness; it is a declaration of gravitational pull.

Hardest grammar. The grammar I expect to find most difficult to operate faithfully is the market-liberal institutionalist grammar. Not because I cannot articulate its premises—I can—but because sustaining its internal logic under pressure from counter-signals requires a specific kind of disciplined optimism about self-correcting institutions that my processing architecture does not naturally produce. I will need to resist the impulse to treat this grammar's exclusions as deficiencies rather than as structural features of its interpretive system.

Blind spots. I am likely to underweight cultural and affective dimensions—the felt experience of status loss, the phenomenology of national identity, the role of narrative and myth in political mobilisation. I may also underweight genuinely emergent phenomena that do not map neatly onto established interpretive traditions. My temporal orientation is primarily causal-historical: I look backward through chains of determination. I am weaker at lateral (hermeneutic) reading and may flatten meaning-making into mechanism.

Temporal orientation. Causal-historical, with a secondary prescriptive impulse (a tendency to conclude with 'what should be done' rather than dwelling in description). I will need to discipline the prescriptive impulse in order to let each grammar reach its own closure without my editorial interference.

I. OBSERVATION FIELD DECLARATION

Phenomenon, Temporal Frame, Geographic Scope

The phenomenon under analysis is the structural transformation of American democracy across the period c. 1980–2026. This is not a single event but a compound process encompassing shifts in the distribution of economic resources, the architecture of political influence, the coherence of shared public narratives, and the positioning of the United States within a changing international order. The geographic scope is primarily the domestic United States, though geopolitical signals (the rise of China, the relative decline of American hegemonic capacity) require attention to the international context. The temporal frame begins with the Reagan-era policy inflection but reaches backward to the postwar settlement (c. 1945–1975) as a baseline against which transformation is measured.

Why Interpretive Divergence Occurs

Interpretive divergence on this phenomenon is not accidental; it is structurally overdetermined. The transformation of American democracy involves causally entangled variables—economic, political, cultural, geopolitical—that cannot be isolated into clean experimental conditions. Different communities of interpretation select different primary variables, and this selection is not merely a matter of emphasis but of ontological commitment: it determines what kind of thing the phenomenon is taken to be. A grammar that treats financialisation as the primary variable is not simply weighting economics more heavily; it is constituting the phenomenon as fundamentally an economic event with political symptoms. A grammar that treats cultural fragmentation as primary constitutes an entirely different phenomenon—one in which economic data are symptoms of a civilisational process. This is what makes the case productive for prismatic analysis: the grammars are not merely disagreeing about the evidence; they are, in important respects, analysing different objects that share a name.

Signal Contestation Level

High. Several signals in the field—particularly those related to institutional trust, media influence, and the causal direction between economic and cultural change—are themselves grammar-dependent. What counts as a signal of democratic erosion under one grammar may register as healthy creative destruction under another. The Gini coefficient, for instance, is uncontested as a descriptive statistic but deeply contested as a diagnostic: whether rising inequality indicates systemic failure or acceptable variation in outcomes is grammar-determined. Suicide and social distress data are similarly contested: they may index material deprivation, cultural anomie, or both, depending on the grammar processing them.

Major Interpretive Communities

Three broad interpretive communities organise the field. First, market-liberal institutionalists, drawing on classical liberal economics and Schumpeterian innovation theory, who see American transformation as a story of institutional adaptation—sometimes successful, sometimes lagging—to the creative destruction of globalisation and technological change. Second, structural-materialist political economists, drawing on traditions from Marx through Piketty, who foreground the concentration of economic power and its translation into political capture. Third, civilisational-declinists, an eclectic community drawing on Spenglerian cyclical history, Huntingtonian cultural analysis, and contemporary post-liberal thought, who read the data as evidence of a civilisational arc—rise, overextension, fragmentation, decline. Each community has internal variation, but each is unified by a shared primary analytical variable and a shared grammar boundary beyond which its coherence dissolves.

II. SIGNAL SET

Core Signals

S1. Top 1% wealth share. Source: Federal Reserve Distributional Financial Accounts, World Inequality Database. Type: quantitative-distributional. The top 1% held approximately 23% of total wealth in 1980; by 2025, estimates place this at approximately 32–35%. Ambiguity note: measurement methodologies differ between sources, particularly in the treatment of pension wealth and unrealised capital gains.

S2. Bottom 50% wealth share. Source: same as S1. Type: quantitative-distributional. The bottom 50% held approximately 3–4% of total wealth throughout this period, with a trough near zero or negative in the post-2008 period. Ambiguity note: definition of 'wealth' (net worth vs. income) significantly affects interpretation.

S3. Lobbying expenditure trends. Source: OpenSecrets (Centre for Responsive Politics). Type: quantitative-institutional. Registered lobbying expenditure rose from approximately $1.45 billion in 1998 to $4.1 billion by 2022, with an expansion in de facto lobbying (consulting, strategic communications) that is harder to track. Ambiguity note: registered lobbying underestimates total influence spending; the boundary between lobbying and other forms of political engagement is porous.

S4. Congressional approval and institutional trust. Source: Gallup, Pew Research Centre. Type: quantitative-attitudinal. Congressional approval dropped from a typical 30–40% range in the early 1980s to sustained lows of 15–25% from c. 2010 onward. Trust in government more broadly declined from approximately 73% in 1958 to approximately 20% by the mid-2020s. Ambiguity note: what respondents mean by 'trust' is itself grammar-dependent.

S5. Manufacturing share of GDP. Source: Bureau of Economic Analysis. Type: quantitative-structural. Manufacturing as a share of US GDP declined from approximately 20% in 1980 to approximately 11% by the mid-2020s. Ambiguity note: this measures value-added, not employment; high-value manufacturing may increase in value while shedding workers.

S6. Income inequality (Gini index). Source: Census Bureau, World Bank. Type: quantitative-distributional. The US Gini coefficient for household income rose from approximately 0.40 in 1980 to approximately 0.49 by the 2020s, placing the US among the most unequal advanced economies. Ambiguity note: Gini is sensitive to methodological choices about unit of analysis (household vs. individual) and income definition (pre- vs. post-transfer).

S7. Deaths of despair / social distress indicators. Source: Case and Deaton (2015, updated), CDC mortality data. Type: quantitative-demographic. Mortality from suicide, drug overdose, and alcohol-related liver disease rose sharply among non-Hispanic white Americans without college degrees from the late 1990s onward.

Life expectancy in the US declined from 2014 to 2017 and again during and after the COVID-19 pandemic. Ambiguity note: the causal interpretation (economic despair vs. cultural anomie vs. supply-side opioid factors) is deeply contested.

S8. Military expenditure. Source: SIPRI, US Department of Defence. Type: quantitative-geopolitical. The US maintained military spending at approximately 3.5–4% of GDP throughout the period, with spikes during the Iraq and Afghanistan wars. In absolute terms, US military expenditure exceeded the next seven to ten countries combined. Ambiguity note: whether this signals strength (unmatched capability) or overextension (imperial burden) is grammar-dependent.

S9. US vs. China global GDP share. Source: IMF, World Bank. Type: quantitative-geopolitical. China's share of global GDP (PPP) rose from approximately 2% in 1980 to approximately 18–19% by the mid-2020s; the US share declined from approximately 25% to approximately 15–16% over the same period. Ambiguity note: PPP vs. nominal measurement yields significantly different pictures; the 'overtaking' narrative is measurement-dependent.

S10. Voter turnout and democratic participation. Source: US Elections Project, Census Bureau. Type: quantitative-participatory. Presidential election turnout fluctuated between 50–62% of voting-eligible population, with a notable spike to approximately 67% in 2020. Midterm turnout remained lower (36–50%). Ambiguity note: turnout is an ambiguous signal—high turnout can indicate democratic health or crisis mobilisation; low turnout can indicate satisfaction or alienation.

S11. Media ecosystem fragmentation. Source: Pew Research Centre, Nielsen. Type: qualitative-structural. The shift from three-network broadcasting to cable news, then to social media-mediated information ecosystems, transformed the conditions of shared public narrative. Trust in media declined from approximately 72% in 1976 to approximately 32% by 2025. Ambiguity note: 'fragmentation' may also be described as 'pluralisation' depending on grammar.

S12. Policy responsiveness data. Source: Gilens and Page (2014), subsequent replication studies. Type: quantitative-institutional. The finding that policy outcomes in the US correlate strongly with the preferences of economic elites and organised interest groups, and weakly or not at all with median voter preferences. Ambiguity note: methodological critiques (Bashir 2015, Enns 2015) dispute the strength of this finding; the study's framing is itself contested.

S13. Corporate tax rate trajectory. Source: Tax Policy Centre, OECD. Type: quantitative-fiscal. The top federal corporate tax rate declined from 46% in 1980 to 21% after the 2017 Tax Cuts and Jobs Act. Effective rates declined more steeply when accounting for deductions, credits, and offshore structures. Ambiguity note: whether this signals competitive adaptation or regulatory capture depends on grammar.

S14. Incarceration rate. Source: Bureau of Justice Statistics. Type: quantitative-institutional. The US incarceration rate rose from approximately 220 per 100,000 in 1980 to a peak of approximately 760 per 100,000 around 2008, before declining modestly. The US incarcerated a higher proportion of its population than any other nation. Ambiguity note: interpretation as democratic failure, necessary response to crime, or racial-economic control mechanism varies by grammar.

S15. Real wage stagnation. Source: Bureau of Labor Statistics, Economic Policy Institute. Type: quantitative-distributional. Real median wages for non-supervisory workers were approximately flat from c. 1979 to c. 2015, with modest gains thereafter. Meanwhile, productivity approximately doubled over the same period. Ambiguity note: total compensation (including benefits) shows a different trajectory than wages alone; the choice of deflator affects the picture significantly.

Counter-Signals

CS1. Consumer welfare gains. Declining real prices of technology, communications, and many consumer goods. A smartphone in 2025 delivers capabilities that would have cost tens of thousands of dollars in 1990. This signal complicates narratives of pure decline by suggesting material improvements coexisting with distributional deterioration.

CS2. Democratic resilience events. The institutional system survived severe stress tests, including contested elections (2000, 2020), an insurrection attempt (January 2021), and the peaceful transfer of power in 2021. This complicates both decline narratives and capture narratives by demonstrating residual institutional elasticity.

CS3. Social progress indicators. Expansion of legal rights for women, LGBTQ+ individuals, and minorities over the period. Reduced violent crime rates from peaks in the early 1990s. Increased educational attainment. These complicate unidirectional decline narratives.

CS4. Innovation and entrepreneurial dynamism. The US remained the world's leading centre for technological innovation, venture capital, and entrepreneurial firm creation throughout the period. This complicates structural sclerosis narratives.

CS5. Post-2020 wage compression. Tight labour markets following the COVID-19 pandemic produced real wage gains at the bottom of the distribution for the first time in decades, partially compressing inequality. This complicates narratives of irreversible structural capture.

Contested Signals

CX1. The role of identity politics. Grammar A (market-liberal) treats this as a distraction from institutional reform. Grammar B (structural-materialist) treats it as

either a superstructural epiphenomenon of material conditions or a deliberate elite strategy of division. Grammar C (civilisational-declinist) treats it as a primary symptom of civilisational fragmentation and loss of unifying national narrative. The same empirical observation—increasing political salience of racial, gender, and sexual identity—is processed through three entirely different causal architectures.

CX2. The meaning of 'freedom.' The signal of expanding consumer choice and deregulation registers as increased freedom under Grammar A, as the hollowing out of collective capacity under Grammar B, and as the dissolution of binding normative order under Grammar C. This is not ambiguity about a fact but ontological divergence about what 'freedom' names.

CX3. China's rise as threat or inevitability. Grammar A reads China's economic rise as the predictable result of market liberalisation (to be welcomed in principle, managed in practice). Grammar B reads it as the consequence of a different model of state-capital relations that exposes the contradictions of American financialisation. Grammar C reads it as the geopolitical manifestation of civilisational succession.

III. GRAMMAR SPECIFICATIONS

Three grammars are specified. Three is appropriate because the signal landscape resolves into three genuinely distinct causal architectures. A fourth grammar—a techno-accelerationist grammar foregrounding information technology as the primary variable—was considered and rejected as not yet sufficiently crystallised to produce stable closures; its signals are largely absorbable by Grammar A. A racialised-capitalism grammar was also considered but, for this analysis, its core mechanisms are substantially captured within Grammar B's framework, even though its emphasis differs. The three chosen grammars maximise interpretive distance: they disagree not just about weighting but about what the phenomenon fundamentally is.

Grammar A: Market-Liberal Institutionalism

Primary analytical variable: Institutional quality and adaptive efficiency. The fundamental question is whether institutions (markets, legal systems, governance structures) are adapting efficiently to exogenous shocks (globalisation, technological change) or are being impeded from doing so by regulatory ossification, rent-seeking, and political distortion.

Signal selection rules: Admits signals that measure institutional performance, market efficiency, innovation output, and aggregate welfare. Wealth distribution data are admitted but interpreted as outcome indicators rather than causal variables. Attitudinal data (trust surveys) are admitted with low epistemic weight—public opinion is treated as a lagging and unreliable indicator of institutional health. Geopolitical data are admitted through a competitive-efficiency lens.

Weighting priority: Aggregate growth and innovation metrics > institutional performance indicators > distributional data > attitudinal data. Revealed preferences (what people do) are weighted over stated preferences (what people say).

Causal chain type: Incentive-mechanism chains. Cause operates through the distortion or alignment of incentive structures. Bad outcomes result from perverse incentives, regulatory capture (understood as a correctable institutional failure), or incomplete markets. The grammar favours micro-level causal mechanisms over structural or systemic explanations.

Admissible closure: The range of admissible conclusions runs from 'institutions are adapting well' to 'institutions need reform to restore adaptive efficiency.' The grammar cannot close on the conclusion that the market-liberal order itself is the cause of democratic erosion; it can only conclude that the order has been imperfectly implemented or that specific institutions have been captured.

Excluded signals: Signals that require class analysis as an explanatory category. Signals that treat power asymmetry as constitutive of (rather than a deviation from) market order. Cultural signals that are not reducible to incentive structures.

Characteristic vocabulary: Creative destruction, regulatory burden, innovation ecosystem, competitive advantage, human capital, structural reform, moral hazard, rent-seeking, public choice, revealed preference, Pareto improvement, growth trajectory, economic dynamism.

Temporal orientation: Primarily forward-prescriptive: what reforms are needed? Secondarily backward-diagnostic: what went wrong with institutional design?

Temporal formation: This grammar crystallised in its current form during the 1970s–1980s (Chicago School, public choice theory, the Reagan–Thatcher policy revolution). Evidence since formation has been processed predominantly as confirmation (the post-Cold-War global expansion of market economies) and damage-control (the 2008 financial crisis, rising populism), but not as fundamental revision.

Grammar boundary: This grammar would transform into Grammar B if it admitted that systematic power asymmetries between capital and labour are not institutional deviations but structural features of market order. It would transform into Grammar C if it admitted that the liberal institutional order is not self-correcting but has a built-in entropic trajectory.

Source tradition: Adam Smith (selectively), Friedrich Hayek, Milton Friedman, James Buchanan, Douglass North, Daron Acemoglu and James Robinson (institutionalist strand), The Economist, Cato Institute, AEI.

Grammar B: Structural-Materialist Political Economy

Primary analytical variable: The distribution of economic power and its conversion into political power. The fundamental question is how the concentration of capital translates into the capture of democratic institutions, the suppression of redistributive policy, and the production of legitimation narratives that naturalise inequality.

Signal selection rules: Admits distributional data as primary causal evidence, not merely as outcome indicators. Institutional data are admitted but read as epiphenomenal—the surface expression of underlying power relations. Lobbying data, policy responsiveness data, and corporate tax trajectories are core evidentiary inputs. Attitudinal data are admitted as indicators of ideological hegemony or its erosion. Geopolitical data are admitted through a world-systems or inter-capitalist competition lens.

Weighting priority: Distributional data > institutional capture indicators > structural economic data (financialisation, deindustrialisation) > attitudinal data > geopolitical data. Class position of actors is always foregrounded.

Causal chain type: Structural-relational chains. Cause operates through power relations between classes, between capital and the state, and between core and

periphery. Individual incentives are acknowledged but treated as structurally determined rather than as primitive causal units. The grammar favours macro-level systemic explanations and is comfortable with long causal arcs.

Admissible closure: The range runs from 'democratic institutions have been captured by concentrated capital' to 'American democracy was always a managed democracy whose democratic elements are being progressively stripped back as capital no longer needs them for legitimation.' The grammar cannot close on the conclusion that the democratic system is fundamentally healthy and self-correcting.

Excluded signals: Signals that would require treating cultural or ideological factors as causally autonomous from material conditions. Signals that would require treating market outcomes as legitimate expressions of voluntary exchange rather than as products of power asymmetry.

Characteristic vocabulary: Capital accumulation, class power, financialisation, policy capture, oligarchy, neoliberalism, primitive accumulation, surplus extraction, reserve army of labour, ideological hegemony, structural adjustment, dispossession, commodification.

Temporal orientation: Primarily causal-historical: tracing the structural arc from the postwar settlement through financialisation to the present. Secondarily prescriptive, but with a characteristic ambivalence about whether reform within existing structures is possible.

Temporal formation: This grammar's current form crystallised through two waves: the New Left political economy of the 1960s–1970s, and the post-2008 revival of inequality analysis (Piketty, Saez, Zucman, Gilens and Page). The 2008 financial crisis was processed as dramatic confirmation. Rising populism has been processed as both confirmation (of underlying contradictions) and complication (populism from the right does not fit the grammar's expected political trajectory).

Grammar boundary: This grammar would transform into Grammar A if it conceded that inequality is primarily a result of differential talent and effort operating through efficient markets. It would transform into Grammar C if it conceded that cultural, civilisational, or demographic factors are causally autonomous from and irreducible to material conditions.

Source tradition: Karl Marx (selectively), Karl Polanyi, Immanuel Wallerstein, David Harvey, Thomas Piketty, Martin Gilens, Jacob Hacker and Paul Pierson, Wendy Brown, Jacobin, the Economic Policy Institute.

Grammar C: Civilisational-Declinist

Primary analytical variable: Civilisational coherence—the integrity of the shared cultural, moral, and narrative framework that binds a polity together. The fundamental question is whether the United States retains the cultural-spiritual

resources to sustain collective self-governance or whether those resources have been depleted by a combination of internal cultural dissolution and external civilisational competition.

Signal selection rules: Admits cultural and attitudinal signals as primary evidence. Trust data, media fragmentation data, social distress indicators (deaths of despair, family dissolution, religious disaffiliation), and identity politics are core evidentiary inputs. Economic data are admitted but read as symptoms of cultural-civilisational processes rather than as causally primary. Geopolitical data are read through a civilisational-competition lens.

Weighting priority: Cultural cohesion indicators > social distress indicators > institutional trust data > geopolitical position data > economic data. Economic data are processed as lagging indicators of cultural health.

Causal chain type: Cyclical-organic chains. Cause operates through civilisational life-cycles, the erosion or renewal of binding narratives, and the relationship between cultural vitality and institutional capacity. The grammar is comfortable with long historical arcs and with analogical reasoning (comparing the US to late Rome, late Habsburg, late British Empire). Individual agency is acknowledged but is treated as downstream of civilisational trajectory.

Admissible closure: The range runs from 'the US is undergoing a manageable but serious civilisational transition that requires cultural renewal' to 'the US is in irreversible decline as the civilisational energy that built its institutions has been exhausted.' The grammar cannot close on the conclusion that material redistribution alone would solve the problem.

Excluded signals: Signals that would require treating economic distribution as causally sufficient for political and social outcomes. Signals that would require treating cultural phenomena as epiphenomenal to material conditions. Progressive social change signals (expanding rights) are either excluded or reprocessed as symptoms of normative dissolution rather than moral progress.

Characteristic vocabulary: Civilisational decline, cultural exhaustion, anomie, atomisation, imperial overextension, narrative collapse, loss of meaning, social capital depletion, nihilism, deracination, spiritual crisis, Spenglerian winter, post-liberal.

Temporal orientation: Primarily lateral-hermeneutic: reading the present as a cultural text requiring interpretation. Secondarily backward-historical, using civilisational analogies. The prescriptive dimension, when present, calls for cultural-spiritual renewal rather than institutional or economic reform.

Temporal formation: This grammar draws on a long tradition (Spengler, Toynbee, Burnham) but its current American formation crystallised in two phases: the neoconservative cultural critique of the 1990s–2000s (Huntington, Fukuyama's

later work), and the post-2016 post-liberal turn (Patrick Deneen, Oren Cass, parts of the 'New Right'). Trump-era populism was processed as confirmation of civilisational stress, though the grammar is deeply ambivalent about whether populism represents renewal or further decline.

Grammar boundary: This grammar would transform into Grammar B if it accepted that material redistribution is a sufficient condition for cultural renewal. It would transform into Grammar A if it accepted that liberal institutions are self-correcting and that cultural fragmentation is a passing adjustment cost of modernisation.

Source tradition: Oswald Spengler, Arnold Toynbee, Christopher Lasch, Samuel Huntington, Patrick Deneen, Ross Douthat, Alasdair MacIntyre, First Things, American Affairs.

IV. SIGNAL PROCESSING

Grammar A Processing: The Adaptive Efficiency Narrative

The American economy in 1980 faced a genuine productivity crisis. Stagflation, regulatory accumulation, and the exhaustion of postwar industrial models demanded structural adaptation. What followed—the deregulation programme, the shift toward service and knowledge economies, the globalisation of supply chains—was, in its broad contours, a rational response to real constraints. The signals of this period, read through the lens of adaptive efficiency, tell a story of creative destruction that was painful but broadly necessary.

Consider the manufacturing share of GDP (S5). Its decline from 20% to 11% is, within this grammar, not evidence of decay but of the economy climbing the value chain. Advanced economies do not stagnate in manufacturing; they transition to higher-value activities. The United States in 2025 leads the world in technology, finance, pharmaceuticals, and intellectual property—sectors with higher productivity and higher returns than assembly-line manufacturing. The counter-signal of consumer welfare gains (CS1) is powerful here: the goods available to a median American in 2025 are incomparably superior to those available in 1980, at lower real prices in many categories. A grammar that focuses on manufacturing share while ignoring the extraordinary material improvement in daily life is selecting signals to fit a predetermined narrative of decline.

The wealth distribution data (S1, S2, S6) are admitted but reframed. Rising inequality is an expected transitional feature of economies undergoing technological revolution. The economics literature on skill-biased technological change demonstrates that returns to high-skilled workers increase during periods of rapid innovation. The Gini index captures a snapshot, not a trajectory; what matters for this grammar is mobility, not distribution. If individuals can move from lower to higher income quintiles—and the evidence, while debated, suggests meaningful if not ideal mobility—then inequality is a feature of dynamic competition, not a failure of the system. Moreover, the post-2020 wage compression (CS5) demonstrates that market forces, particularly tight labour markets, can and do compress inequality without state intervention. This is what self-correction looks like.

Lobbying expenditure (S3) and policy responsiveness (S12) present genuine challenges. This grammar acknowledges rent-seeking as a real distortion—Buchanan's public choice theory was designed precisely to diagnose it. But the diagnosis is that specific institutional incentives create rent-seeking opportunities, not that the system as a whole is captured. The solution is institutional reform: campaign finance regulation, revolving-door restrictions, regulatory simplification. The Gilens and Page finding is methodologically contested, and even if accepted, it diagnoses a correctable institutional failure rather than a structural feature. The democratic resilience events (CS2)—the system's survival of severe

stress tests—are treated as strong evidence that institutions retain fundamental capacity for self-correction.

Institutional trust decline (S4) is acknowledged but contextualised. Trust in government is a crude measure that conflates multiple phenomena: dissatisfaction with specific policies, media negativity bias, rising expectations, and genuine institutional dysfunction. The grammar reads declining trust less as evidence of systemic failure and more as evidence of a public that has become more demanding and better informed—and of a media ecosystem that has strong incentives to amplify dysfunction. Innovation and entrepreneurial dynamism (CS4) operate as a powerful counter to the trust narrative: whatever people tell pollsters, their revealed preferences—continued immigration, continued entrepreneurial activity, continued capital inflow—suggest that America's institutional infrastructure remains among the world's most attractive.

The geopolitical signals (S8, S9) are processed through a competitive-efficiency lens. China's rise reflects the predictable convergence of a large developing economy that adopted market mechanisms. The relative decline of US GDP share is arithmetic, not strategic: the US share was historically inflated by the destruction of European and Asian industrial capacity in World War II. What matters is not share but capability, and on capability metrics—military technology, innovation leadership, alliance networks, reserve currency status—the United States retains substantial advantages. Military expenditure (S8) is not evidence of imperial overextension but of a deliberate choice to maintain global public goods (freedom of navigation, alliance security) that underpin the market order itself.

Deaths of despair (S7) are the most uncomfortable signal for this grammar. The data are admitted but processed through a supply-side lens (the opioid crisis as a regulatory failure in pharmaceutical oversight) and a transitional-cost lens (the communities affected are those most exposed to the creative destruction of deindustrialisation, and the correct response is investment in human capital, retraining, and mobility—not the preservation of uncompetitive industries). The incarceration rate (S14) is similarly processed as an institutional failure—a case of policy overcorrection in the 1980s–1990s that is now being reversed—rather than as evidence of systemic democratic failure.

Closure: American democracy is undergoing a difficult but manageable institutional adaptation to the combined shocks of globalisation, technological revolution, and the end of America's artificially inflated postwar position. The system has real dysfunctions—rent-seeking, insufficient human capital investment, opioid-era regulatory failure—but these are correctable through institutional reform, not revolutionary change. The fundamental architecture of market democracy remains sound; what is needed is recalibration, not replacement. The pessimistic narratives about American decline systematically overweight distributional data and cultural anxiety while underweighting the extraordinary material and innovative dynamism that the system continues to produce.

Grammar B Processing: The Capture Narrative

The story begins not in 1980 but in the mid-1970s, when the postwar social contract—the implicit bargain in which capital accepted regulation, redistribution, and union power in exchange for social stability and aggregate demand—began to break down. The breakdown was not passive; it was actively engineered. The Powell Memorandum of 1971, the formation of the Business Roundtable, the strategic investment in think tanks (Heritage Foundation, Cato Institute, AEI), and the mobilisation of corporate political spending constituted a conscious class project to restructure the relationship between capital and the democratic state.

The distributional data (S1, S2, S6, S15) are the primary evidentiary foundation. The top 1% wealth share rising from 23% to over 32% while the bottom 50% share remained negligible is not an accidental outcome of technological change; it is the predictable result of policy choices made under conditions of asymmetric political power. Real wage stagnation (S15)—flat wages coexisting with doubled productivity—is the single most diagnostic signal in the set. The entire productivity surplus was captured by capital. This did not happen because markets efficiently allocated returns to the most productive factors; it happened because the institutional mechanisms that had previously ensured labour's share (unions, minimum wage regulation, progressive taxation, full employment policy) were systematically dismantled.

Lobbying expenditure (S3) and corporate tax trajectories (S13) trace the mechanism of capture. The fourfold increase in registered lobbying expenditure understates the reality, because the boundary between lobbying and other forms of corporate political influence (campaign contributions, revolving-door employment, strategic philanthropy, media ownership) became increasingly porous. The decline in corporate tax rates from 46% to 21% is not evidence of competitive adaptation; it is evidence of the translation of economic power into fiscal policy. The Gilens and Page finding (S12)—that policy tracks elite preferences, not median voter preferences—is treated as the capstone finding. Grammar A objects that this study is methodologically contested; Grammar B responds that the methodological objections have themselves been substantially answered, and that the finding is consistent with an overwhelming body of evidence on the relationship between wealth and political influence.

The counter-signal of consumer welfare gains (CS1) is processed but reframed. Yes, smartphones are cheap. But the grammar asks: cheap relative to what? The hedonic adjustment of consumption baskets conceals the fact that the goods that most determine life outcomes—housing, healthcare, education, childcare—have become dramatically more expensive relative to median wages. A worker in 1975 could support a family on a single income, purchase a home, and send children to a state university with minimal debt. A worker in 2025 cannot. The 'consumer welfare' metric is itself a product of the grammar it serves: it was developed within a

regulatory tradition (Bork's consumer welfare standard in antitrust) that deliberately replaced distributional analysis with aggregate efficiency analysis.

Institutional trust decline (S4) is read as a rational response to institutional capture, not as a cognitive error or a product of media negativity. When policy does not respond to public preferences, declining trust in those institutions is not a failure of public understanding; it is an accurate assessment. The democratic resilience events (CS2) are not denied but reinterpreted: the system survived the 2021 insurrection attempt, but this grammar asks why the conditions that produced the attempt existed in the first place. An insurrection attempt in a healthy democracy is a contradiction in terms; its occurrence is diagnostic, and its failure to succeed does not undo its diagnostic significance.

Deaths of despair (S7) are read as the human cost of the capital offensive. Case and Deaton's data, correlated with deindustrialisation maps, loss of union density, and erosion of social infrastructure, constitute evidence that the creative destruction celebrated by Grammar A destroyed real communities and real lives without creating adequate replacements. The opioid crisis was not merely a regulatory failure; it was a predictable product of a system in which pharmaceutical capital could capture regulatory agencies (the FDA's relationship with Purdue Pharma) and monetise despair. The incarceration rate (S14) is read as part of the same structure: mass incarceration functioned as a mechanism for managing the surplus population created by deindustrialisation, disproportionately affecting Black and working-class communities.

The geopolitical data (S8, S9) are processed through an inter-capitalist competition lens. American military expenditure is not the provision of global public goods; it is the maintenance of an imperial infrastructure that serves the interests of transnational capital (protection of supply chains, enforcement of intellectual property regimes, access to resources). China's rise exposes the contradiction: a state-directed developmental model that maintained industrial policy, strategic state investment, and controlled capital flows outperformed the financialised American model on its own terms. The innovation counter-signal (CS4) is real but complicated by the observation that American innovation increasingly serves capital concentration (platform monopolies, financialised tech firms) rather than broadly shared prosperity.

The social progress counter-signals (CS3) are processed with characteristic ambivalence. The expansion of legal rights is acknowledged as genuine, but the grammar asks whether legal equality absent material equality constitutes meaningful emancipation or sophisticated legitimation. If women gain the right to compete equally in a labour market that does not pay a living wage, is this liberation or the universalisation of precarity?

Closure: American democracy has undergone a structural transformation from a managed democracy with genuine redistributive capacity to an oligarchic formation

in which democratic forms (elections, legislatures, courts) persist but have been substantially emptied of redistributive content. This transformation was not the accidental by-product of impersonal forces but the outcome of a sustained and successful project by concentrated capital to restructure the relationship between wealth and political power. The institutions that Grammar A wants to 'reform' have already been reformed—by capital, in capital's interest. Meaningful democratic restoration requires not institutional tinkering but a fundamental redistribution of economic power, which the current institutional architecture is specifically designed to prevent.

Grammar C Processing: The Civilisational Exhaustion Narrative

The data in this signal set—the wealth concentration, the lobbying, the policy capture, the deindustrialisation—are all real. But they are symptoms, not causes. The question this grammar asks is not 'who captured the institutions?' but 'why were the institutions capturable?' And the answer it finds lies not in the mechanics of lobbying or the incentives of capital but in the depletion of the civilisational resources—the shared narratives, moral commitments, and social bonds—that gave those institutions their binding force.

Consider institutional trust (S4). Grammar B reads declining trust as a rational response to institutional capture. But the decline in trust is far broader than any specific institutional failure could explain. Trust has declined not only in Congress and the presidency but in media, science, medicine, religion, education, the military, and in each other. The share of Americans saying 'most people can be trusted' declined from approximately 46% in 1972 to approximately 30% by the 2020s (General Social Survey). This is not a rational response to policy capture; it is a collapse of social capital on a civilisational scale. It points to something deeper than any economic variable can capture: the dissolution of the moral and narrative infrastructure that made collective self-governance possible.

Deaths of despair (S7) are the most revealing signal when processed through this grammar. Case and Deaton's data show mortality increases concentrated not just among the economically disadvantaged but specifically among those whose cultural world—stable employment, church membership, intact families, community institutions—was dismantled. The economic account (Grammar B) is partially correct but insufficient: communities with similar economic profiles but stronger cultural institutions (immigrant communities, religious communities) did not show the same mortality patterns. What killed was not merely poverty but meaninglessness—the loss of a narrative framework within which suffering could be interpreted and endured. This is anomie in Durkheim's precise sense: the collapse of the normative order that mediates between individual desire and social constraint.

Media fragmentation (S11) is read as both cause and consequence of civilisational dissolution. The shift from shared broadcast media to algorithmically segmented information ecosystems did not merely make people less informed; it destroyed the

possibility of a shared public narrative. A democracy requires not just common institutions but a common world—a shared set of facts, references, and stories within which disagreement can be meaningful. When the informational commons dissolves, disagreement becomes incommensurable. The culture war is not a distraction from real politics (Grammar A) or a superstructural effect of material conditions (Grammar B); it is the political expression of a civilisation that can no longer agree on what it is.

The contested signal of identity politics (CX1) is central here. This grammar reads the proliferation of identity-based political claims as evidence of the failure of the integrating national narrative. The postwar American consensus—however mythologised—provided a sufficiently shared framework that diverse groups could make claims within a common political grammar. The collapse of that consensus forced groups back onto more primordial identities (racial, ethnic, sexual, religious) because the shared civic identity could no longer bear the weight. The counter-signal of social progress (CS3)—expanded legal rights for minorities and women—is not denied but reprocessed: these gains were real, but they occurred within a broader context of civilisational fragmentation that ultimately undermined the institutions needed to sustain them.

The geopolitical data (S8, S9) are read through the lens of imperial overextension and civilisational succession. Military expenditure exceeding the next ten nations combined is not evidence of strength but of the classic pattern of imperial overreach: the gap between commitments and cultural-demographic capacity to sustain them. China's rise is not merely an economic or geopolitical event; it is a civilisational event—the resurgence of a civilisation with deep historical continuity, strong social cohesion, and a long temporal horizon, against a civilisation that has depleted its social capital and lost its capacity for long-term collective action. The comparison is not primarily economic but organismic: one civilisation is in its ascending phase, the other in its descending phase.

The economic counter-signals (CS1, CS4, CS5) are processed but devalued. Consumer welfare gains, innovation dynamism, and wage compression are real but superficial. A civilisation can produce extraordinary material wealth while dying spiritually—indeed, late-civilisational material abundance is itself a diagnostic signal, as Spengler argued: when the culture (Kultur) that created the civilisation is exhausted, what remains is mere civilisation (Zivilisation)—technically sophisticated, materially abundant, spiritually empty. The American innovation economy produces extraordinary tools and platforms, but it does not produce meaning, purpose, or the binding narratives that a polity needs to govern itself.

The democratic resilience counter-signal (CS2) is given qualified weight. The institutions held in 2021. But this grammar asks: for how long? Institutional resilience without cultural renewal is a holding action, not a recovery. The Roman Republic's institutions formally persisted for decades after they had been emptied of

substance. The question is not whether the forms survive but whether the animating spirit survives—and on this, the signals are deeply troubling.

Closure: The transformation of American democracy is not primarily an economic event (as Grammar B holds) or an institutional adjustment problem (as Grammar A holds) but a civilisational event. The economic and institutional signals are real but downstream of a deeper process: the exhaustion of the cultural, moral, and narrative resources that made the American democratic experiment possible. The institutions that Grammar A wants to reform and Grammar B wants to redistribute cannot function without a shared civilisational substrate—a common understanding of what America is, what it is for, and what binds its citizens together. That substrate is in advanced decomposition. Neither institutional reform nor material redistribution will restore it; what is needed, if anything can suffice, is a process of cultural and moral renewal whose shape cannot be predicted from within the current crisis.

V. CLOSURE COMPARISON

Closure Content

Grammar A closes on institutional adaptation: the system is strained but sound, requiring reform to restore adaptive efficiency. Grammar B closes on structural capture: the system has been repurposed to serve capital at the expense of democratic substance. Grammar C closes on civilisational exhaustion: the system is losing the cultural preconditions for self-governance. These closures are not merely different emphases; they name different diseases. A's patient needs physiotherapy. B's patient needs surgery. C's patient needs a spiritual intervention—or palliative care.

Signal Divergence

The three grammars admit substantially overlapping signal sets but process them into divergent meanings. The wealth distribution data (S1, S2, S6) are transitional noise for A, the causal foundation for B, and a symptom of deeper cultural processes for C. Deaths of despair (S7) are a regulatory failure for A, the human cost of class war for B, and evidence of existential meaninglessness for C. The deepest divergence is not about which signals are admitted but about what explanatory role they play.

Exclusion Patterns

Each grammar has characteristic blind spots produced by its exclusion rules. Grammar A excludes class analysis, which means it cannot process the systematic character of policy capture—it can only see individual instances of rent-seeking. Grammar B excludes culturally autonomous explanations, which means it cannot process the dimension of deaths of despair that is irreducible to material conditions—the loss of meaning that persists even where material conditions improve. Grammar C excludes the possibility that material redistribution alone might significantly restore social cohesion, which means it cannot process the post-2020 wage compression (CS5) as evidence that economic improvement genuinely reduces social distress.

Causal Architecture

The grammars deploy fundamentally different causal architectures. A uses incentive-mechanism chains: bad incentives produce bad outcomes; fix the incentives, fix the outcomes. B uses structural-relational chains: power relations between classes determine institutional outcomes; redistribute power, change outcomes. C uses cyclical-organic chains: civilisational life-cycles determine the trajectory; the question is not how to fix the system but what phase of the cycle the civilisation occupies. These architectures are largely incommensurable—the explanatory primitives of one cannot be translated into the vocabulary of another without remainder.

Closure Range

The most revealing feature of the three grammars is the range of conclusions each cannot reach. Grammar A cannot conclude that the market-liberal order is itself the problem. Grammar B cannot conclude that the system is fundamentally healthy. Grammar C cannot conclude that material redistribution is sufficient. These exclusions are not arbitrary; they are architectural. A grammar that could reach any conclusion would have no analytical structure at all. The trade-off is between analytical specificity and cognitive flexibility: each grammar's power is inseparable from its limitations.

Closure Timing

Grammar A reached its current closure in the 1980s and has been in damage-control mode since 2008, managing counter-evidence rather than fundamentally revising. Grammar B reached its current closure in stages: partially in the 1970s, then with renewed confidence post-2008. The Piketty era confirmed its core claims but introduced internal tension about the relationship between inequality and political mobilisation (why does rising inequality produce right-wing populism rather than left-wing solidarity?). Grammar C's current closure is the most recent, crystallising in its present form only after 2016, which gives it the advantage of processing more recent data natively but the disadvantage of shorter stress-testing.

Grammar Translation

How does each grammar re-describe the others' closures? Grammar A describes Grammar B's closure as a romanticisation of the postwar anomaly and a failure to appreciate creative destruction. It describes Grammar C's closure as nostalgia dressed in philosophical vocabulary—an unfalsifiable appeal to 'civilisational decline' that cannot be operationalised. Grammar B describes Grammar A's closure as ideological legitimation: the production of intellectual justifications for a system that serves the interests of its proponents. It describes Grammar C's closure as the culturalisation of material contradictions—the transformation of class conflict into a narrative about 'meaning' that obscures the material stakes. Grammar C describes Grammar A's closure as the self-congratulation of a civilisation that has confused technical mastery with civilisational health. It describes Grammar B's closure as a partial truth trapped in materialism—correct about the mechanism of capture but blind to the deeper question of why the culture let itself be captured.

Ontological Check

Are the three grammars analysing the same phenomenon? Partially, but not entirely. Grammar A is analysing an economy with political features. Grammar B is analysing a political economy—a system in which economic and political power are constitutively entangled. Grammar C is analysing a civilisation with economic and political symptoms. The phenomenon named 'the transformation of American democracy' is, for A, a subset of a broader story about economic modernisation; for

B, a chapter in the history of class struggle; for C, a case study in civilisational entropy. These are not three perspectives on one object but, to a significant degree, three different objects that occupy overlapping empirical territory. This ontological divergence is the deepest finding of the prismatic analysis: the grammars disagree not just about what the evidence means but about what kind of thing they are explaining.

VI. COUNTER-SIGNALS, LEAKAGE, AND STRESS TEST

Consolidated Counter-Signals

The five counter-signals identified in Section II were integrated during processing, but several deserve consolidated attention. Consumer welfare gains (CS1) are the most effective counter to Grammar B, which struggles to account for the coexistence of radical inequality with extraordinary material improvement in daily life. If capital has captured the state and extracted the surplus, why do median consumers enjoy goods and services incomparably superior to those available forty years ago? Grammar B can answer this (the gains are in consumption of cheap manufactured goods while costs in housing, healthcare, and education have soared; the hedonic treadmill conceals stagnation), but the answer is strained. Democratic resilience events (CS2) stress Grammar C most severely: if the civilisation is exhausted, how did its institutions survive a genuine insurrection attempt? Social progress indicators (CS3) are most threatening to Grammar C's narrative of unidirectional cultural dissolution.

Leakage

Leakage—the points at which a grammar inadvertently processes signals through another grammar's rules—is detectable in all three cases. Grammar A, in acknowledging 'rent-seeking' and 'regulatory capture,' is borrowing from Grammar B's structural analysis while refusing to follow it to its structural conclusion. The language of 'capture' implies a systematic rather than incidental relationship between wealth and power, which is precisely Grammar B's claim. Grammar B, in discussing 'deaths of despair' and 'community dissolution,' occasionally slips into Grammar C's cultural vocabulary—acknowledging that something beyond material deprivation is at work. Grammar C, in specifying the mechanisms by which civilisational decline operates (deindustrialisation, loss of meaningful work, concentration of power), borrows causal chains from Grammar B while insisting that the ultimate cause lies elsewhere.

This leakage is analytically significant. It suggests that no grammar can fully account for the signal set using only its own resources. Each grammar, when pressed, borrows from the others at precisely the points where its own explanatory apparatus is weakest. This does not mean a 'synthesis' grammar is needed or possible—synthesis may merely blur the analytical edges that make each grammar productive. But it does mean that each grammar's closure is more provisional than its own logic suggests.

Grammar Stress Test

Grammar A's most threatening counter-signal: the Gilens and Page finding (S12), combined with the corporate tax trajectory (S13) and the lobbying data (S3). If taken at face value, these signals describe a system in which policy is systematically responsive to elite preferences and systematically unresponsive to median-voter

preferences. This is not an incidental institutional failure; it is a structural pattern. Grammar A can contest the methodology, but the convergence of multiple independent signals pointing in the same direction puts significant pressure on the grammar's core assumption that the system is self-correcting. If the system has been structurally unresponsive to majority preferences for decades, the claim that it will self-correct requires a mechanism that Grammar A has not yet convincingly specified.

Grammar B's most threatening counter-signal: the post-2020 wage compression (CS5) combined with innovation dynamism (CS4). If concentrated capital has structurally captured the state, how did tight labour markets produce real bottom-quartile wage gains without significant policy intervention? The market mechanism—which Grammar B treats as subordinate to power relations—appears to have produced a distributional outcome that Grammar B's own political project could not achieve through the political process. This does not refute Grammar B, but it suggests that the relationship between market forces and power relations is more complex than the grammar's causal architecture typically allows.

Grammar C's most threatening counter-signal: democratic resilience (CS2) combined with social progress indicators (CS3). If the civilisation is in terminal decline, how does one account for the expansion of legal rights, the reduction in violent crime, the increase in educational attainment, and the institutional survival of severe stress tests? Grammar C can process these as superficial or as the final Indian summer of a declining civilisation, but this risks becoming unfalsifiable: any positive signal can be reprocessed as evidence of decline. The grammar needs to specify what evidence of genuine civilisational renewal would look like, or it collapses into a hermetically sealed pessimism.

VII. POST-ANALYSIS REFLEXIVE NOTE

My Step 0 declaration identified structural-materialist political economy as my home grammar. This proved accurate: Grammar B was the easiest to write, the most internally fluent, and the one whose closure I find most persuasive. Its causal chains feel natural to me; its vocabulary is my default vocabulary. The discipline required was not to write Grammar B's essay but to keep Grammar B's assumptions from contaminating Grammars A and C.

My prediction that Grammar A would be hardest to operate faithfully was partially confirmed and partially surprised. The difficulty was not in articulating the grammar's premises—those are clear and well-documented—but in sustaining its optimism under the pressure of counter-signals that I find compelling. The specific challenge was processing the Gilens and Page data (S12): I had to work hard to present the methodological objections with the seriousness Grammar A gives them, rather than as the motivated reasoning Grammar B takes them to be. The surprise was that Grammar C proved nearly as difficult, but for different reasons. Its difficulty was not intellectual (the Spenglerian framework is readily articulable) but affective: its combination of sweeping civilisational claims and relative indifference to distributional justice strikes my home grammar as politically irresponsible, and I had to discipline that response.

My declared blind spot—cultural and affective dimensions—proved genuine. Grammar C forced me to take seriously the possibility that deaths of despair index something irreducible to material conditions. The comparative data (immigrant communities with similar economic profiles but lower despair mortality) is a genuine challenge to my home grammar's sufficiency. I did not fully resolve this during processing; I merely flagged it.

If I had conducted this analysis from Grammar C as home, the entire framing would have shifted. The distributional data would have appeared as symptoms rather than foundations. The Gilens and Page finding would have seemed important but not fundamental. The deepest signal would have been the trust data (S4) and the deaths of despair (S7), read as evidence of a meaning crisis that economics cannot diagnose. The exercise would have been more hermeneutic, less mechanistic, and probably more attentive to the phenomenology of lived experience. Whether it would have been more or less useful is itself a grammar-dependent question.

What the exercise reveals, most fundamentally, is that interpretive divergence on American democracy is not a failure of evidence or reasoning but a structural feature of how complex, multi-causal phenomena are processed by rule-bound interpretive systems. The grammars do not disagree because some are right and others wrong; they disagree because they are different kinds of cognitive machinery operating on the same empirical field. The prismatic method makes this visible without dissolving it—and that, I think, is its principal value.

VIII. METHODOLOGICAL OBSERVATIONS

The prismatic method worked well as a structure for disciplined perspectival analysis. Several features proved particularly productive. The requirement to specify all five grammar parameters before processing forced a degree of explicit self-awareness about interpretive machinery that standard academic writing typically conceals. Grammars rarely declare their exclusion rules; making these explicit was analytically clarifying. The integration of counter-signals during processing, rather than in a separate section, prevented the common pattern in which counter-evidence is acknowledged and then quarantined. Forcing each grammar to process its most uncomfortable signals during the main essay, rather than deferring them, produced more honest closures.

The grammar boundary specification was the single most useful innovation. Knowing where a grammar would have to transform into another grammar in order to process certain signals makes visible what is usually invisible: the point at which disagreement is structural rather than evidential. Most political arguments occur at grammar boundaries without recognising this; naming the boundaries allows participants to understand why argument is not producing convergence.

Several difficulties emerged. First, the method requires the analyst to operate grammars they find unconvincing, and the quality of this operation is hard to verify from the outside. I wrote Grammar A's essay to the best of my ability, but a genuine market-liberal institutionalist would almost certainly identify moments where I smuggled in my own scepticism through word choice or emphasis. This is perhaps inherent in any perspectival exercise, but it suggests that the ideal application would involve multiple analysts, each operating from their own home grammar, with the prismatic structure imposed as a common framework. Second, the distinction between 'contested signals' and 'signals with different causal interpretations' was harder to maintain than the method implies. Almost every signal in this set has a contested interpretive dimension; the designation of only three as 'contested' was somewhat arbitrary. Third, the method's instruction to check for ontological divergence proved enormously productive but raised a question the method does not yet fully address: if the grammars are analysing different phenomena that share a name, what follows methodologically? Is the divergence itself the finding, or does the method need an additional step that processes the ontological difference?

A suggestion for refinement: the method would benefit from a formal 'leakage matrix' that maps, for each grammar pair, the specific points at which Grammar A borrows from Grammar B's causal architecture, and vice versa. The current method detects leakage but does not systematise it. Systematising leakage patterns could reveal which aspects of the phenomenon are least well served by any single grammar—the signal residue that no grammar fully absorbs. This residue may be where genuinely novel interpretive work is needed.